

Paid Time Off (PTO) & Leave Policy

Policy Reference: HR-POL-003

Policy ID:	HR-POL-003	Version:	5.1
Effective Date:	2024-01-01	Last Reviewed:	2023-12-15
Policy Owner:	Compensation & Benefits Manager	Approved By:	Chief People Officer
Compliance Required:	Yes – All Employees	Next Review:	12 months from effective date

1. Policy Purpose

This policy establishes the company's paid time off program, designed to provide employees with flexibility to manage personal, vacation, and illness-related time away from work.

2. PTO Accrual Schedule

PTO is accrued per pay period based on tenure:

- 0–2 years: 15 days per year (0.58 days/pay period)
- 3–5 years: 20 days per year (0.77 days/pay period)
- 6–10 years: 25 days per year (0.96 days/pay period)
- 11+ years: 30 days per year (1.15 days/pay period)

Part-time employees accrue PTO on a pro-rated basis based on hours worked.

3. PTO Usage

PTO may be used for: vacation, personal appointments, illness, family care, or any other personal reason. Employees should request PTO at least 5 business days in advance for planned absences. For unplanned illness, employees should notify their manager as early as possible on the day of absence.

4. PTO Approval

PTO requests are submitted through the HRIS self-service portal. Managers must approve or deny within 2 business days. Denial must be accompanied by business justification. Employees may appeal denials to the HR Business Partner.

5. PTO Balance Cap & Rollover

PTO balances may not exceed 1.5x the annual accrual amount. Balances above the cap stop accruing until used below the cap. Up to 5 PTO days may roll over to the following year; excess balance is forfeited. Employees will be reminded when approaching the cap.

6. PTO Payout

Upon separation in good standing, accrued but unused PTO up to the rollover maximum (5 days) will be paid out in the final paycheck. Employees terminated for cause forfeit accrued PTO. PTO payout is subject to applicable state law.

7. Holidays

The company observes 11 paid holidays per year: New Year's Day, MLK Jr. Day, Presidents' Day, Memorial Day, Independence Day, Labor Day, Thanksgiving Day, Day after Thanksgiving, Christmas Eve, Christmas Day, New Year's Eve. Employees required to work on a holiday receive holiday pay plus their regular rate.

8. Leave of Absence

Employees may be eligible for unpaid or partially paid leaves including: FMLA (up to 12 weeks), state family leave, personal leave (manager approval, up to 4 weeks), and military leave (per USERRA). Leave requests must be submitted to HR with required documentation. Job protection applies per applicable law.

9. Sick Leave (States Requiring Separate Accrual)

In states requiring separate sick leave (CA, NY, WA, CO, etc.), employees accrue sick leave per state requirements in addition to or instead of general PTO as required. HR maintains state-specific accrual schedules available on the intranet.